in this utility representation is Hersh Shefrin and Meir Statman's disposition effect.[2] The disposition effect is the desire to hold losing investments too long (risk-seeking behavior) and to sell winning investments too quickly (risk-avoidance behavior).

PRACTICAL APPLICATION

Loss aversion bias, observed in practice as the *disposition effect,* is seen often by wealth management practitioners. Investors open up the monthly statements prepared by their advisors, skim columns of numbers, and usually notice both winners and losers. In classic cases of loss aversion, clients dread selling the securities that haven't performed well. Get-even-itis takes hold, and the instinct is to hold onto a losing investment until, at the very least, it rebounds enough for the client to break even. Often, however, research into a losing investment would reveal a company whose prospects don't forecast a rebound. Continuing to hold stock in that company actually adds risk to an investor's portfolio (hence, the client's behavior is risk seeking, which accords with the path of the value function in Figure 17.1).

Conversely, when the monthly statement indicates that profits are being made, the loss-averse client is gripped by a powerful urge to "take the money and run," rather than to assume continued risk. Of course, frequently, holding on to a winning stock isn't a risky proposition, if the company is performing well; that is, profitable investments that the loss-averse investor wants to sell might actually be improving the portfolio's risk/return profile. Therefore, selling deteriorates that risk/return profile and eliminates the potential for further gains. When the increased risks associated with holding on to losing investments are considered in combination with the prospect of losing future gains that occur when selling winners, the degree of overall harm that a loss-averse investor can suffer begins to become clear.

A final thought on taking losses: Some investors, remarking on losing investments that haven't yet been sold, rationalize that "it's only a paper loss." In one sense, yes, this is true. Inasmuch as the investment is still held, a loss has technically not been triggered for tax purposes.

In reality, though, this kind of rationale covers up the fact that a loss has taken place. If you went to the market to sell, having just incurred a "paper loss," the price you would obtain for your investment would be lower than the price you paid—effecting a very "real" loss indeed. Thus, if holding on to a losing investment does not objectively enhance the likelihood of recouping a loss, then it is better to simply realize the loss, which won't remain on paper forever.